Orient Ceratech Ltd

Concall-Tracker report · Screener ticker ORIENTCER (NSE: ORIENTCER) · formerly Orient Abrasives · Ashapura group · no concall transcripts — global web deep-dive · prepared 01 Sep 2026

1. Snapshot

What the business does (one line): Orient Ceratech takes **bauxite** and turns it into high-temperature ceramic materials — calcined and fused alumina, refractory bricks and monolithics that line steel furnaces, abrasive grains for grinding wheels, and ceramic proppants used to prop open fractured rock in oil and gas wells. In plain terms: it makes the heat-resistant materials that steel plants and grinding-wheel makers consume, and it sits inside the Ashapura minerals group, promoted by Bombay Minerals.

Figure	Value	Plain-English read
Market capitalisation	**₹536 cr** (price ₹44.9)	What the whole company is worth — a small-cap. The share has ranged ₹33.0–56.6 over the past year. Face value is just ₹1.
Price-to-earnings	**18.6×**; dividend yield 0.56%	About 19 times last year's profit. Book value is ₹24.7 a share, so it trades at roughly 1.8 times book.
Q1 FY27 revenue (Jun'26 qtr)	**₹106.1 cr, up 8.4% YoY**	Against ₹97.9 cr a year earlier. Modest growth, but on an improved cost base.
Q1 FY27 operating profit	**₹10.5 cr, margin 9.92%**	The best quarterly margin in three years, against 4.21% in the same quarter last year. Margin has now improved for four consecutive quarters.
Q1 FY27 net profit	**₹5.91 cr, up 89% YoY**	Nearly double the ₹3.13 cr of a year earlier. Earnings per share ₹0.49 for the quarter.
FY26 (full year)	**~₹402 cr revenue, ~₹18.7 cr profit**	Revenue up about 21% on FY25's ₹333 cr, and profit up from ₹10 cr — the best year since FY20.
The long record is the problem	**₹313 → 346 → 302 → 259 → 284 → 317 → 333 cr**	FY19 through FY25. Revenue in FY25 was still **below** FY20's ₹346 cr — six years without progress, before FY26's recovery to ₹402 cr.
Margin history	**13% (FY19–20) → 6–9% since**	Operating margin halved after FY20 and has not been near 13% in six years. Q1 FY27's 9.92% is the best of the recovery but still well short.
Profit history	**₹16, 21, 11, 7, 13, 17, 10, ~19 cr**	FY19 to FY26 — no trend, just oscillation. FY22's ₹7 cr was a third of FY20's ₹21 cr.
Return on capital	**ROCE 10.5%; ROE 8.06%**	For every ₹100 of capital the business earns about ₹10 a year before tax, and shareholders earn 8%. Below what the capital arguably costs.
Power Division	**Disposed — now discontinued operations**	The company completed the sale of its power-generation segment, reported as discontinued in the Q1 FY27 accounts approved on 6 August 2026. It is now a focused ceramics business.
Capacity	**>250,000 MT a year**	Fused, sintered and monolithic materials across two manufacturing complexes.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. Screener lists **no investor-call entries at all**, so on the available record Orient Ceratech does not hold earnings calls. There is no management commentary, guidance or outlook to read or grade. Everything below comes from filings, results announcements, rating-agency material and published coverage.

Sources used: Q1 FY27 results (board approval 6 August 2026) including the treatment of the Power Division as discontinued operations; FY26 and FY25 results; NSE-filed CARE Ratings disclosure (March 2026); company material on segments, product range and the 250,000 MT capacity; Ashapura group and Bombay Minerals promoter information; and Screener.in financial statements.

2b. Latest update highlights — Q1 FY27 (results 6 Aug 2026) ★

- **The best quarter in three years:** revenue **₹106.1 cr, up 8.4%**, operating profit **₹10.5 cr at a 9.92% margin** — against just 4.21% in the same quarter last year — and net profit **₹5.91 cr, up 89%**.
- **Margin has improved four quarters running:** 4.21%, then 7.62%, 9.31%, 9.02% and now 9.92%. That is a trend rather than a single good quarter, and it is the strongest evidence in the company's favour.
- **The Power Division has been sold** and is now shown as discontinued operations. Orient Ceratech is henceforth a focused ceramics and refractories business rather than a two-segment company with an unrelated power arm — a simplification that should improve both returns and comparability.
- **FY26 was the best year since FY20:** revenue of about ₹402 cr, up roughly 21% on FY25's ₹333 cr, with profit rising from ₹10 cr to about ₹18.7 cr. After six years of stagnation, the business has finally exceeded its pre-FY21 revenue level.
- **But the returns remain weak:** return on capital employed is **10.5%** and return on equity **8.06%**. Operating margin of 9.92%, while much improved, is still well below the 13% the company earned in FY19 and FY20. The recovery has restored the losses of the intervening years rather than created new value.

2c. Business mix & capacity (quick facts)

Domestic vs export: not disclosed, and none is invented here. The primary customer base is the Indian iron and steel industry, which consumes refractories and monolithics, together with abrasive-grain buyers. Ceramic proppants for oil and gas are the more export-oriented product line.

Segment mix — now simplified: the company reported two segments — **Alumina Refractories, Monolithics and bauxite ores**, which is the main revenue driver, and **Power generation**. The power segment has now been **disposed of** and is treated as discontinued. What remains is calcined bauxite, fused aluminium oxide abrasive grains, low-cement castables and monolithics consumed mainly in steel plants, plus higher-value speciality ceramics including proppants for the oil and gas industry.

Capacity utilisation: installed capacity exceeds **250,000 MT a year** of fused, sintered and monolithic materials across two complexes. **Utilisation is not disclosed** and none is invented here. A useful structural point is that the company sits within the **Ashapura group** and is promoted by **Bombay Minerals** — a bauxite miner — which gives it a degree of raw-material integration that an independent refractory maker would lack. Incorporated in 1974 and ISO 9001-certified, it is a long-established supplier rather than a new entrant.

3. Earning Trigger thesis ★

There is a **genuine operational recovery under way, but not yet a growth engine**. The recovery is real and measurable: operating margin has risen for four consecutive quarters from 4.21% to 9.92%, FY26 revenue grew about 21% to ₹402 cr — finally exceeding the FY20 level after six years of stagnation — and profit nearly doubled in Q1 FY27. Selling the Power Division sharpens the business into a single focused ceramics operation, and being promoted by Bombay Minerals within the Ashapura group provides bauxite integration that competitors lack. Set against that, the returns still do not justify the capital: **return on capital employed is 10.5% and return on equity 8.06%**, and the 9.92% operating margin remains far below the 13% earned in FY19 and FY20. Over seven years profit has gone ₹16 cr, ₹21 cr, ₹11 cr, ₹7 cr, ₹13 cr, ₹17 cr, ₹10 cr and now about ₹19 cr — oscillation without direction. Demand depends on Indian steel production and grinding-wheel consumption, both cyclical and neither within management's control. And because the company holds no earnings calls, there is no stated plan, no capacity target and no explanation of what changed to lift margins — so an outsider cannot tell whether the recovery is structural or cyclical.

Candidate trigger	What the record shows	Evidence so far	Horizon	Strength
Margin recovery	—	**Four consecutive quarters of improvement** — 4.21% → 7.62% → 9.31% → 9.02% → 9.92%. A trend, not a blip	Live	Strong
Revenue finally exceeding the old peak	—	FY26 revenue ~₹402 cr against ₹346 cr in FY20 — the first genuine progress in six years	Now	Moderate
Power Division disposal	Completed; now discontinued operations	Simplifies the company into a focused ceramics business and should lift return on capital by removing an unrelated asset base	Done	Moderate
Bauxite integration via the group	Promoted by Bombay Minerals within the Ashapura group	A structural raw-material advantage over independent refractory makers — though it also means related-party supply that is not separately disclosed	Structural	Moderate
Speciality products (proppants, castables)	Ceramic proppants for oil and gas; low-cement castables	Higher-value than commodity calcined bauxite — but no segment revenue split is published, so the mix shift cannot be measured	Unclear	Unquantifiable
Returns on capital	—	**ROCE 10.5%, ROE 8.06%** — even after the recovery, below a reasonable cost of capital	Structural	Poor
Margin still far below history	—	9.92% against 13% in FY19–FY20. The recovery has recouped losses rather than reached new ground	—	Incomplete
Steel-cycle dependence	—	Refractories and monolithics are consumed by steel plants; demand and pricing follow a cycle management does not control	Every cycle	Outside control

4. Management Consistency scorecard

Read this as **almost entirely ungradeable**. Screener lists no investor calls for this company, so there is no guidance, outlook or management statement on the public record against which outcomes can be measured.

Period	What was signalled	What actually happened	Verdict
FY20 → FY25	—	Revenue went ₹346 cr → ₹333 cr and profit ₹21 cr → ₹10 cr — **six years of going backwards**, with no public explanation at any point	**No progress**
FY22	—	The trough — revenue ₹259 cr, operating margin 6%, profit ₹7 cr, a third of the FY20 level	**Poor**
FY26	—	**Genuine recovery** — revenue up ~21% to ~₹402 cr, profit up from ₹10 cr to ~₹18.7 cr, the best year since FY20	**Delivered**
Q1 FY27	—	Margin 9.92%, the fourth consecutive quarterly improvement; profit up 89%	**Delivered**
FY26–FY27	Disposal of the Power Division	**Completed** and correctly reported as discontinued operations in the Q1 FY27 accounts — a stated corporate action carried through	**Delivered**
Throughout	—	Dividend maintained across the weak years (payout 17–31%), so shareholders were not left with nothing during the downturn	**Consistent**
Throughout	—	**No earnings calls held at all.** No explanation of the six-year decline, no account of what drove the recovery, no capacity or utilisation data, no segment revenue split, and no disclosure of related-party bauxite supply from the promoter group	**Total disclosure gap**

Narrative drift: There is no narrative to drift from. Orient Ceratech publishes results and executes corporate actions but offers no commentary at all — no calls, no guidance, no outlook. What the record shows is a long, unexplained decline followed by a real recovery. From FY20 to FY25 revenue actually fell and profit halved, with operating margin dropping from 13% to 6–9%, and at no point was any public explanation offered. Then FY26 delivered about 21% revenue growth and nearly doubled profit, and margin has now improved for four consecutive quarters to 9.92%. The Power Division disposal was announced and completed, and correctly reflected as discontinued operations. Dividends were maintained through the weak years, which counts for something. But the questions that matter most cannot be asked. Why did margins halve after FY20, and what has restored them? Is the recovery structural or simply the steel cycle turning? What proportion of revenue now comes from higher-value proppants and castables versus commodity calcined bauxite? And on what terms does the company buy bauxite from Bombay Minerals, its own promoter? For a business with related-party raw-material supply and a 10.5% return on capital, the complete absence of an investor forum is the most significant fact in this section.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

Something real is happening and it deserves credit. Operating margin has improved for four consecutive quarters, from 4.21% to 9.92%; FY26 revenue grew about 21% to ₹402 cr, finally passing the FY20 level after six years of going nowhere; and Q1 FY27 profit rose 89%. Selling the Power Division turns a two-segment conglomerate into a focused ceramics business, and being promoted by a bauxite miner within the Ashapura group gives genuine raw-material integration that independent refractory makers lack. But this is a recovery rather than a growth engine. Return on capital employed is 10.5% and return on equity 8.06% — even after everything above, the business earns less than its capital reasonably costs. Operating margin of 9.92% remains well short of the 13% earned in FY19 and FY20, so the improvement has recouped lost ground rather than broken new. Across seven years profit has oscillated between ₹7 cr and ₹21 cr with no direction. And the underlying demand comes from Indian steel production and abrasives consumption, both cyclical, so the four-quarter margin improvement may be the cycle turning as much as the company improving. Without any management commentary there is no way to distinguish the two, which is precisely why this cannot be graded higher.

Management consistent? → MAYBE

This is a Maybe by default rather than by assessment. There is no guidance, no outlook and no management commentary of any kind on the public record, because **Orient Ceratech holds no earnings calls at all**. What can be verified is respectable enough: the Power Division disposal was announced and completed, correctly reported as discontinued operations; dividends were maintained through the weak years with payout between 17% and 31%, so shareholders were not abandoned during the downturn; and the FY26 recovery and the four-quarter margin improvement are genuine, delivered results. Nothing suggests anything improper. But two things stop this rising further. First, the company went backwards for six years — revenue lower in FY25 than FY20, profit halved, margin down from 13% to 6% — and no explanation was ever offered to shareholders, nor any account since of what has changed to reverse it. Second, and more specific to this company, it buys its principal raw material within a promoter group that includes a bauxite miner, and no related-party supply terms or segment revenue split are published. That is exactly the sort of arrangement an earnings call exists to let investors probe. There is no such forum here, and so no way to form a view.

Prepared from public sources on 01 Sep 2026. Screener lists **no investor-call entries whatsoever** for this company, so this is a global web deep-dive: Q1 FY27 results (board approval 6 Aug 2026) including the Power Division's treatment as discontinued operations, FY26 and FY25 results, NSE-filed CARE Ratings disclosure of March 2026, company material on segments and the 250,000 MT capacity, Ashapura group and Bombay Minerals promoter information, and Screener.in financial statements. FY26 figures are the sum of the four reported quarters. No management wording is quoted verbatim because none is publicly available. **This is not investment advice. Do your own due diligence.**